

THE WALL STREET JOURNAL.

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★★★★ \$5.00

DJIA 44111.74 ▼ 61.90 0.14%

NASDAQ 20916.55 ▼ 0.7%

STOXX 600 541.40 ▲ 0.1%

10-YR. TREAS. yield 4.196%

OIL \$65.16 ▼ \$1.13

GOLD \$3,381.90 ▲ \$7.50

EURO \$1.1578

YEN 147.61

What's News

Business & Finance

◆ **The departure of Fed** governor Adriana Kugler gives Trump the chance to install a loyalist on the rate-setting committee and to position the appointee as a successor to Powell months before the chairman's term expires. **A1**

◆ **The National Football League** struck a deal with Disney to take a 10% stake in ESPN in return for control of media assets that include NFL Network. **A1**

◆ **U.S. services-sector** activity expanded marginally in July as employment contracted at a faster pace and trade policy continued to cause concern for businesses. **A2**

◆ **The ISM data** knocked U.S. stock indexes, with the S&P 500, Nasdaq and Dow industrials losing 0.5%, 0.7% and 0.1%, respectively. **B11**

◆ **Linda Yaccarino** will become chief executive of privately held health-management company eMed weeks after stepping down from social-media platform X. **B1**

◆ **Pfizer raised its** profit outlook for the year after reporting higher quarterly revenue and earnings, saying the guidance accounts for potential price changes based on Trump's letter to drugmakers. **B4**

◆ **News Corp reported** revenue and profit increases for its fiscal fourth quarter, driven by growth at its Dow Jones and Digital Real Estate Services divisions. **B4**

◆ **Diageo raised its** cost-savings target and forecast stable sales growth as the British spirits maker seeks to navigate trade disputes and a slowdown in alcohol consumption. **B3**

World-Wide

◆ **The House Oversight** Committee subpoenaed the Justice Department for records related to its Jeffrey Epstein investigation and is seeking to question Bill and Hillary Clinton and former officials about the disgraced financier's crimes. **A5**

◆ **The Trump administration** ran afoul of the Impoundment Control Act when it delayed and canceled billions of dollars in government grants to scientists earlier this year, according to a top government watchdog. **A3**

◆ **Health and Human Services** will cancel contracts and funding for mRNA vaccines being developed to fight respiratory viruses like Covid-19 and the flu. **A5**

◆ **The White House** is preparing an executive order that threatens to fine banks that deny services on political grounds, citing experiences of conservative groups and crypto companies. **A5**

◆ **The Coast Guard** said the deadly implosion of the Titan submersible on a descent to the wreck of the Titanic was preventable and caused by the operator's inability to meet safety and engineering standards. **A5**

◆ **Israel said it would** allow more goods to enter Gaza via the private sector, potentially helping to get more food to Palestinians as pressure grows over the hunger crisis in the enclave. **A16**

◆ **The Trump administration** published a new and shorter list of cities, counties and states that it defined as sanctuary jurisdictions, after pushback from local officials. **A3**

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Helping Hands Arrive in the Flooded Ganges



RISING TIDE: National Disaster Response Force personnel floated into the Namo ghat—a platform on the river—in Varanasi, India, on Tuesday, following heavy monsoon rains that killed at least four people in the northern part of the country.

Palantir's Bold Moves Pay Off In White House, on Wall Street

Data-driven firm is power player in D.C. and most expensive stock in the S&P 500

In early 2023, Palantir Chief Executive Alex Karp publicly announced the company had a

Heather Somerville, Vera Bergengruen and Joel Schectman

new artificial-intelligence product that was “currently under development.” Palantir engineers were

stunned. They weren't building any such product. But Karp recognized where the world was going and, as he had done before, he put Palantir Technologies in the white-hot center of the latest trend reshaping the global order. His engineers, he assumed, would figure out how to build it. They did.

The blind run into AI is one of a series of decisions by Palantir that have positioned the company today as a power player in the Trump administration, an integral tool for national security and the most expensive stock in the S&P 500. On Monday, it reported its

best-ever earnings with more than \$1 billion in revenue in the second quarter, 53% growth in earnings from U.S. government contracts and total booked contracts valued at \$2.3 billion.

Its stock, already at a record and up more than 600% from a year ago, soared 7.9% on Tuesday.

The company's transformation from an awkward Silicon Valley upstart trying to make it as a government contractor has also emboldened it. Some of its recent and prospective deals skirt the lines of what even some of the company's current and former employees

consider a violation of ethical applications of AI and moral uses of software by government—and Palantir is unapologetic.

As it has ascended, Palantir's leadership has adopted a persona not unlike President Trump himself: taunting its critics, lambasting the media, and showing contempt for the departed employees who have sounded alarms about Palantir's recent work. In particular, some former employees have said they viewed the company's assistance on Trump's aggressive immigration en-

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Trump Gets Path To Boost Influence At the Fed

An early exit gives the president more leverage on rate cuts; Bessent is ruled out

By Nick Timiraos
And Brian Schwartz

In the chess game over bending the Federal Reserve to his will and sidelining Chair Jerome Powell, a significant piece just fell into President Trump's hands.

Fed governor Adriana Kugler said unexpectedly last week that she will leave the central bank this Friday, about six months before her term was set to end. That gives the president the chance to install his own pick on the rate-setting committee earlier than he had expected, adding pressure on Powell with a new ally who can push for rate cuts.

Trump could also use that selection to position someone as the heir apparent to Powell, creating a competing voice that markets listen to for signals about the Fed's future direction.

Trump said Tuesday he would make his decision later this week, including whether to nominate to the post his choice to succeed Powell next year or whether to instead pick someone who could simply serve out the last few months in Kugler's term.

Earlier Tuesday in a CNBC interview, Trump ruled out choosing Treasury Secretary Scott Bessent as the successor to Powell, whose term ends next May.

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◆ **Service-sector data** spark down day for stocks..... **B11**

INSIDE



PERSONAL JOURNAL
Highly realistic 'reborn dolls' comfort owners, but the collectibles creep out critics. **A10**



PROPERTY REPORT
How a New York City suburb is actually managing to bring rents down. **B6**

Many Are Earning More But in Worse Financial Shape

Millions of U.S. children live in households that are just scraping by; nearly half below bottom rung of middle class

By Dan Frosch

ENDICOTT, N.Y.—By government standards, Lisa Meazler and her three daughters aren't technically poor.

Meazler earns \$37,500 a year, working for a nonprofit that helps connect new mothers with services. She owns her own home, a small house with blue siding and a backyard in a quiet neighborhood outside Binghamton.

Some nights, Meazler, 43, wonders how far it's gotten her. She hasn't been able to afford to take the girls, ages 7, 13 and 22, on a real vacation for years. She winces when her mid-

dle child, Emmi, asks why she can't make “normal dinners” like other families, referring to the home cooked meals Emmi eats with friends instead of the cheaper frozen food her mom serves. Meazler tells her they don't have money like other families.

“We're fine, Mom,” Emmi said, plopped down on the living room couch after basketball practice. “We are fine,” Meazler smiled.

Away from her children, Meazler's blue eyes fill with tears. Her credit cards are maxed out. She's constantly behind on her cellphone bills. She usually pays her \$865 mortgage late, like

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Big Mayo Married My Friends

* * *
When Hellmann's hosts a wedding, there's a dress code

By Julie Wernau

Were the flowers on my dress “Hellmann's Blue” or some lesser hue that might violate the rules of my friends' mayonnaise-themed wedding? I grabbed a dress that gave “canola mayo orange” vibes as backup.

Unilever, the company behind Hellmann's Mayonnaise, was about to marry my friends.

A month earlier, Heather Schroering and Nick Phillips had answered a casting call for “chicken tender-loving couples to get married for a dipping sauce commercial.” In exchange for agreeing to

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Disney Deal Gives NFL A 10% Stake in ESPN

By Joe Flint
And Isabella Simonetti

The National Football League has struck a wide-reaching deal with Disney in which it will take a 10% stake in the ESPN sports empire in return for control of key media assets including NFL Network.

Neither Disney nor the NFL would disclose the value of the ESPN stake. Analysts have estimated ESPN's valuation at between \$25 billion and \$30 billion, putting the NFL's piece in the \$2.5 billion to \$3 billion range.

The tie-up, between two of the biggest names in entertainment and sports, furthers the symbiotic relationship between media companies and athletic leagues that is moving beyond just traditional rights deals to televise games.

Through a content partnership with Skydance Media, the NFL will also have equity in rights holder CBS after Sky-

dance closes its deal to acquire the network's parent Paramount Global this week.

Under the terms of the agreement, ESPN will add NFL Network to its stable of sports channels. It will also distribute the NFL's Red Zone channel to pay-TV operators, although ownership and digital distribution rights will remain with the league.

For ESPN, the deal strengthens the bond with its most important content provider as it prepares to launch a streaming version of its flagship network this fall. The addition of more NFL content will likely increase interest in the service.

The NFL in turn not only gets a piece of a key Disney asset, but also ensures the future of its two channels which, although popular, will benefit from being part of a media behemoth.

The deal will need regula-

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